

complaint

Mr E complains that International Insurance Company of Hannover SE (IICH) has unreasonably declined his claim under his home insurance policy, for loss and damage to his property following a burglary.

background

Mr E was burgled and his home damaged. He obtained a police report and made a claim to IICH. He said he provided all of the information requested, but IICH won't settle his claim.

IICH appointed a loss adjuster who visited the property and said that Mr E told him the property had been unoccupied since 2013. IICH said when Mr E took out the policy in 2013 he was asked if the property was his main residence and he said it was and that the property wouldn't be unoccupied for more than 30 days per year. A statement of fact asked Mr E to confirm that the address was his permanent residence.

IICH said other information also showed that Mr E didn't live at the insured address, including entries for him and his wife on the electoral roll at another address. IICH declined the claim and voided Mr E's policy for misrepresentation.

Mr E said whether or not the property is his main residence is irrelevant as he had complied with the terms of the policy. He said the property had never been unoccupied for more than 45 days in a row as his policy requires, and he took safety precautions including visiting every week. Later on he said it was IICH's 'clerical error' that it understood him to have told the loss adjuster it was unoccupied from 2013.

Mr E said his broker knew of his circumstances and the cover continued at each renewal of the policy as before.

The investigator didn't recommend that the complaint be upheld. He said Mr E had given a signed statement following the burglary that his main residence was elsewhere and he's been registered to vote at this other address since 2013.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. I have not considered the points Mr E has raised about his broker as his complaint is against IICH, the policy underwriter.

I've looked closely at IICH's decisions about Mr E's claim and at the terms of his policy to see if he's been treated fairly. When an insurer voids a policy for misrepresentation we look to see if a clear question was asked about the cover in question; if the answer was inaccurate and whether or not the insurer would've offered cover in any event, at a different premium, or not at all.

The comparison website asked Mr E clear questions about his main residence, and he responded that this was the insured address and it would be occupied during the day. Mr E was sent a Statement of Insurance which confirmed his information and asked to check the accuracy. No amendments to the policy were made by Mr E at this point, or when invited to do so at each subsequent renewal.

Mr E's information about the occupancy of the insured address appears to be contradictory in that he wrote to the insurer that the property was never unoccupied for more than 45 days and he visited on a weekly basis. He later wrote that it was irrelevant whether or not the property was his main residence as he was visiting on regular occasions. In his emails to our service Mr E said that the property was his main residence at the time of the burglary.

In a signed statement to IICH's loss adjuster, Mr E said that he and his family lived at the insured address up until 2012, and mainly at his other address since 2013. He said he'd visited the insured address about six weeks before the incident but his wife hadn't visited for over six months. This statement appears to give a reliable account of Mr E's living arrangements and I think it's clear that the insured address wasn't his main residence and he should've given this information to IICH.

IICH offered Mr E cover based on the information he provided and said it wouldn't have offered cover had it known the correct position. Insurers aren't obliged to offer cover and clearly the risks of an unoccupied property are greater than an occupied one. IICH doesn't insure unoccupied properties and I'm satisfied it would've declined to cover Mr E's property had it known the correct circumstances.

I wouldn't agree with Mr E that he has complied with the terms and conditions of the policy as I don't think he's given accurate information about his main residence. I think that IICH has acted fairly and in accordance with the terms of the policy in voiding Mr E's policy and I don't require it to take any other action.

my final decision

For the reasons I have given it is my final decision that the complaint is not upheld.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr E to accept or reject my decision before 16 February 2018.

Andrew Fraser
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